Fritz Gilbert writes the blog *The Retirement Manifesto.* He goes one step further and utilizes the “Mega-Backdoor Roth,” another option some can use if their employer’s retirement plan allows it. In this scenario, after maxing out a tax-deferred contribution to a retirement plan, you make an additional non-deductible contribution to your 401(k). These after-tax contributions that would otherwise be invested in taxable accounts can then be converted to a Roth IRA where growth and distributions will never be taxed again. This allows you to contribute tens of thousands of additional dollars each year to tax-advantaged accounts, putting the “Mega” in “Mega-Backdoor Roth.”

Creating Your Own Advantages

We’ve focused on tax advantages available to people working as employees and investing in traditional paper investments. People who *Choose FI* tend to have an entrepreneurial mindset. When you develop a small business or invest in real estate, you open up even more possibilities to grow your wealth while paying less tax. We will explore some alternative investing options later in the book.

Action Steps